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Why Technology Commercialization & Product Launches Fail

A disciplined view on commercialization pitfalls

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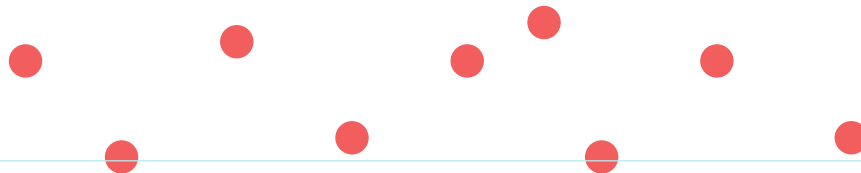
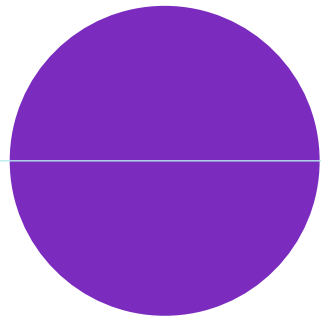
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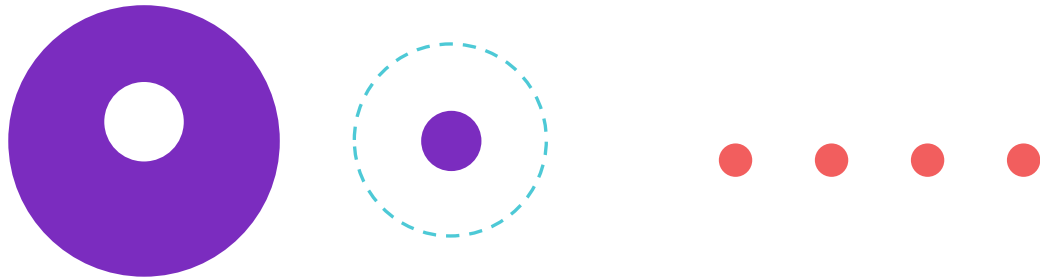
Institute for Technology and Innovation Management

1. Why Technology Commercialization Fails

Insights from Laird & Sjoblom (2004), Business Horizons



Agenda



- 1 Main Theme
- 2 4 Pitfalls in Commercialization
- 3 Road map to Success: Disciplined Approach
- 4 Real Case Analysis
- 5 A Modern Failure: The Humane AI Pin
- 6 Then & Now: What Has Changed
- 7 Key Takeaways

Technology Commercialization Fails

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The Paper

Commercializing Technology: Why is it so difficult to be disciplined?

Business Horizons, Vol. 47 No. 1 · January–February 2004 · pp. 65–71

Based on 22 interviews with entrepreneurs, investors and high-tech managers

Main Theme

The Questions

The writer of the paper investigated a business question, why it is hard to be disciplined and how not to fail during technology commercialization.

The Arguments

The writer argued in the paper that:

1. commercialization projects fail for four reasons.
2. to be successful, first strategic evaluation and then tireless execution.

"Having a promising technology is no guarantee of commercial success"



Main Argument: 4 Pitfalls in Commercialization

According to the writers there are four main pitfalls for the commercialization project:

1

Superficial market analysis



Companies rely on gut feeling or have some superficial market analysis. Don't have direct observation.

2

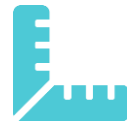
Bad Partnership Strategies



Companies tend to build partnership relations on convenience or existing relationships. Rather than being based on genuine complementarity of skills or aligned commercial interests.

3

No fixed Boundaries



If there are no fixed milestones or a regulated budget, it harms the project. Project becomes over-engineered or late to market.

4

Too much attachment



In love with technology, forget about stakeholder expectations, and ignore potential exit opportunities.

"a lack of discipline is rarely intentional"

Road map to Success: Disciplined Approach

"do only what you are good at"

"only one new thing at a time."

1



Disciplined Commercialization

business should structure discipline, for each company, it can be different. step-by-step approach to strategy and execution that avoids four classic pitfalls.

2



Value Chain Analysis

Investigate and find out the best value-chain position first, then choose a partner.

3



Vertical Alliances

Partnerships should be done with companies with non-overlapping value chains/complementary partners.

4



Permission-to-Continue

Milestone-based funding with clear boundaries. The project only advances when evidence justifies it.

5



Exit Mindset

Treat spin-offs, licensing, and buyouts as valid success outcomes from day one.

6



Lean Funding

Excess capital enables poor discipline; constrained budgets sharpen focus.

Real Cases 1: Sierra Wireless

✓ Good Examples



Understanding Customers

Sierra insists on observing customer needs firsthand. Sierra focused on **the blue-collar market**—police, fire services



Vertical alliances

The “Wireless Ready Alliance” helped drive the commercial direction of development



Permission-to-Continue

recycle existing designs to speed up delivery and reduce costs.



Canadian-based leader in developing cellular data products



Real Cases 2: Victrex

✓ Good Examples



Deep market analysis

Victrex spent time learning its industry—the players, the structure, customers.



Value Chain Analysis

Victrex partnered with company with complementary activities and aligned commercial interests.
formed a vertical alliance with Ballard Power Systems.



Lean Funding

cash control to ensure that manager think again before committing



UK-based world leader in the production of PEEK, a high-performance polymer



Real Cases 3: Raynet

X Bad Example

X Superficial market analysis

Worked closely with telecom operators and did not observe end user needs.

X Bad Partnership Strategies

strong relationship with Bell South and other telcos.
Let partners dictate how it might apply its new technology.

X Focus by keeping Funding Lean

chased customer wishes rather than real needs; entered a market it did not truly understand; ultimately failed commercially.

"We should have asked the customers what their problems were, not what they wanted — which would regularly change."

— Raynet manager

Raychem[®] →



Raynet, a subsidiary of Raychem, a Fortune 500 company supplying industrial components.

X Too much attachment

difficulty of breaking the commitment of an enthusiastic entrepreneur

Real Cases 4: Others

X Bad Example



Too much attachment

turned down a multimillion-dollar offer for its rear-projection TV technology

A Modern Failure: The Humane AI Pin (2024)



Sold to HP for \$116M

Less than 1 year on the market

Four pitfalls — at the same time

1 Not Understanding Customers

Too pricy, performance issues, 2–4 hour battery — failed real-world testing.

2 No partnerships

Refused to integrate with smartphones, app stores, or any existing ecosystem.

3 No fixed boundaries

Big Promises and an Apple-style 'big reveal' instead of staged learning and milestone.

4 Too much attachment

The team was committed to the vision. Sold at \$116 million, a significant markdown from the \$230 million

Then & Now: What Has Changed

Dimension	2004	2020s
Customer Analysis	Get to know the customer; site visits at end users.	AI-Based Customer Market Research.
Prototyping	'Ugly, timely, adequate' physical prototype.	Lean startup methods: MVP build; rapid A/B testing.
Partnership Model	Vertical alliances; complementary partners (Victrex–Ballard) (Sierra Wireless - Wireless Ready Alliance).	Multi-actor open-innovation ecosystems.
Failure Speed	Years of slow decline (Raynet: 1987–1994).	In the digital era, Humane AI pin failed within a year.
Key Risk Signal	Chasing the moving technical target.	'AI-everything' hype.

The principles haven't changed — the speed and scale of failure have.

Sources: Laird & Sjoblom (2004), Business Horizons 47(1) · Korst, Puntoni & Toubia (2025), HBR · Wang & Wu (2025), Management Science 72(1) · Cricelli et al. (2024), Administrative Sciences 14(3) · TechResearchOnline (2025); Failure.Museum (2025) · Welsh (2024), Medium. Yuan et al. (2020) — Product-harm crises in the digital era

Key Takeaways

1

Customer understanding is the #1 failure driver — and still.

2

Technology push without market understanding leads to expensive flops.

3

Disciplined funding (milestone-based) (internal venture capital fund) acts as a control mechanism.

4

Vertical, complementary partnerships better than convenient ones.

5

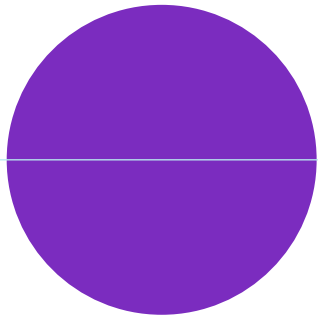
Plan exit strategies from day one : spin-off, license, pivot.

6

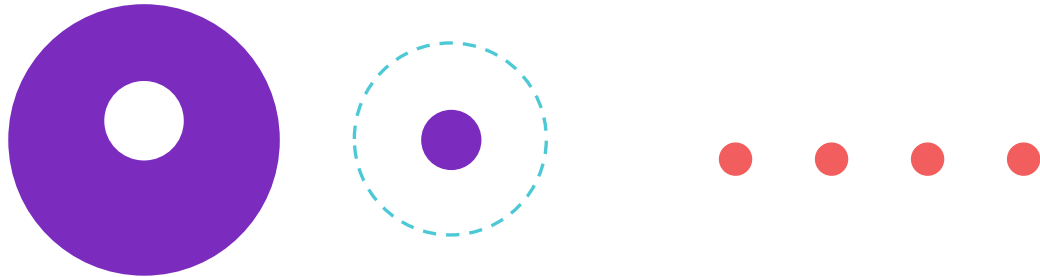
Social media/Fast digital Era has made everything more visible. Recovery window for a bad launch is small.

2. Why Product Launches Fail

Insights from Schneider & Hall (2011), Harvard Business Review



Agenda



- 1 Barriers in Product Launches
- 2 Common Factors Behind Failure
- 3 Critical Flaws and secondary flaws
- 4 Recent Survey
- 5 Solutions for Increasing Product Launch Success

The Authors & The Paper



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The Paper

Why Most Product Launches Fail

Harvard Business Review · Vol. 89, No. 4 · April 2011 · pp. 21–23

Identifies five frequently fatal flaws that cause new consumer products to fail at launch — drawn from the authors' work as launch consultants and the 'Most Memorable New Product Launch' survey (2002–2008).

Barriers in Product Launches

Survey of 2011:

75% consumer packaged goods fail to generate \$7.5 million in sales during their first year

< 3% new consumer products achieve sales above \$50 million in their first year

Root Cause:

- Customer's habit of buying familiar goods.
- Difficulties to break customer's comfort zone.
- Lack of market research and customer survey.



Common Factors Behind Failure

#1 Growth Shock	#2 Promise Gap	#3 Product Limbo	#4 Lack of educational promotion	#5 No Market exist
What Happens: Demand rises faster than the company can scale proper production Example: <i>Mosquito Magnet – quality declined after rapid production expansion</i> 	What Happens: Product fails to meet quality and performance Example: <i>Microsoft Vista – performance and compatibility issues triggered after launch</i> 	What Happens: Product cannot bring fully new feature. Example: <i>Coca-Cola C2 – neither indulgent enough nor healthy enough</i> 	What Happens: Customers don't understand how and for which purpose to use it Example: <i>– confusing innovation for customers</i> 	What Happens: Product launches without enough reality check of customer demand Example: <i>Segway – hype far exceeded mainstream adoption</i> 

Critical Flaws and Secondary Flaws

Critical Flaws

- 1 No Market exist**
If customers do not truly need or want the product, even great execution cannot save it.
- 2 Lack of educational promotion**
Choosing correct promotion is highly related with product.
- 3 Product Limbo**
Customers need clear reason to switch.

Secondary Flaws

- 1 Growth Shock and Promise Gap**
more flexible flaws
- 2 Backup plan**
Can be solved with proper backup planning and patience.

“Flaws 1 & 2 are largely matters of timing — they can be fixed by delaying launch.”

Recent Survey

Hidden Reasons for Failure of Product Launches

1



Ignoring User Feedback

2



Misaligned Pricing

3



Cultural or Regional Misalignment

4



Lack of Project Management

5



Unpredictable Timelines & Late Marketing/Sales Engagement

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Thank You

Questions & Discussion 
